of NSSF loans to FCI of Rs 1,18,712 lakh crore at the end of financial year 2020–21. Collation of this information available in NSSF accounts suggests that Rs 55,000 crore would be repaid in 2021–22, which would leave a balance Rs 63,712 crore, to be repaid in 2022–23 or after.

Putting together all these pieces of information reveals that the government provided an amount of Rs 2,42,616 crore in BE21–22 for food subsidy as revenue expenditure in the demands of the Department of Food and Public Distribution. There is no provision for payment of any food subsidy to FCI in the NSSF estimates for 2021–22 but there is a provision for repayment of Rs 55,000 crore. Therefore, the estimated food subsidy for 2021–22 is Rs 1,87,616 crore.

The estimated food subsidy bill for 2020–21 is the amount of food subsidy provision in the RE budget of the Department of Food and Public Distribution minus the net repayment from FCI in the NSSF accounts. As the NSSF accounts record repayment by FCI of Rs 2,20,524 crore and disbursement of Rs 84,636 crore, the net repayment to NSSF for food subsidy is Rs 1,35,888 crore. As the total food subsidy provision in the RE budget of the Department of Food and Public Distribution is Rs 4,22,415 crore (Rs 3,44,077 crore for FCI and Rs 78,338 crore for decentralized procurement), the estimated food subsidy bill of 2020–21 works out to Rs 2,86,527 crore. The government provided for clearing the outstanding NSSF food subsidy loan of Rs 2,54,600 crore in the beginning of 2020–21 by repaying net Rs 1,35,888 crore in 2020–21, Rs 55,000 crore in 2021–22 and the remaining Rs 63,712 crore in 2022–23 or later.

With the government providing for the full food subsidy bill of Rs 2,86,527 crore for 2020–21 and Rs 2,42,616 crore for 2021–22 and beginning the process of repaying outstanding NSSF loans to FCI, it turned a new leaf in the transparent payment of food subsidy expenditure. Further, while it was expected to take two more years (2021–22 and 2022–23) to clear off past food subsidy obligations, the government did clear the NSSF